schemes, misleading asset issuers, and the cornering of markets (also known as “pump and dump” schemes).

As we’ve mentioned, those who lack an understanding of bitcoin and cryptoassets often express their disdain and ignorance with the proclamation, “It’s just a Ponzi scheme.” So let’s start there.

PONZI SCHEMES

Ponzi schemes, also referred to as pyramid schemes, are the most dangerous type of misleading asset. While it got its name from Charles Ponzi, an Italian who lived from 1882 to 1949, it existed before he was born; he just made it famous.

The idea is simple: new investors pay old investors. As long as there are enough new investors, old investors will continue to be rewarded handsomely. For example, if an operator of a Ponzi scheme offered 20 percent returns into perpetuity, some investors would be duped into initially believing the operator. Call this “Batch A” of investors. The operator would encourage Batch A investors to tell their friends, who would become Batch B of even newer investors. The money Batch B investors invested would pay the 20 percent returns promised to the Batch A investors who brought them into the scheme. From there, Batch A and Batch B go and solicit Batch C, telling Batch C about this amazingly easy and rewarding investment product. The capital from Batch C goes to pay Batch A and Batch B, and so the Ponzi cycle continues indefinitely until there are not enough new investors to keep it